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Deloitte appointed for audit to help decide if Bhushan Steel be given another chance to recast loan

By Sangita Mehta, ET Bureau Last Updated: Jul 13, 2016, 01:57:00 AM IST

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Synopsis
The Reserve Bank of India's norms on S4A aimed at giving new lifeline to financially troubled company mandates forensic audit and techno economic viability study.

MUMBAI: A consortium of 30 lenders of Bhushan Steel decided to appoint consulting firm Deloitte to conduct a forensic audit that will help them decide if the company should be given a second chance to recast a loan of Rs 40,000 crore.

The consortium met on Tuesday at the headquarters of the lead bank, State Bank of India, to discuss if they could initiate S4A — scheme for sustainable structuring of assets — or take legal action to recover dues from Bhushan Steel.

"Bhushan Steel has become a cause for worry for most banks as its debt is classified as non-performing loan and if steps are not taken now, the asset could deteriorate further," said a senior bank official present at meeting. Under the S4A scheme, banks can separate sustainable debt from unsustainable debt. Subsequently, lenders can convert the unsustainable debt into equity, reducing the debt burden of the promoters of the company but also reducing their equity.

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Senior bank officials who attended the meeting said that while majority of the lenders agreed to give Bhushan Steel a second chance, some worried the company's past record involving bribe for loan could hamper chances of recovering their dues.

A couple of years ago, the Central Bureau of Investigation (CBI) filed a chargesheet against Bhushan Steel's vice chairman Neeraj Singal in a bribery case which involved former CMD of Syndicate Bank S K Jain. It is because of this episode that the findings of the forensic audit will be significant in deciding the fate of the company.

The Reserve Bank of India's norms on S4A aimed at giving new lifeline to financially troubled company mandates forensic audit and techno economic viability study to be done before taking a decision on restructuring the loan.

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